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# Project Willow — Consensual Restructuring Proposal

Submitted by Calverton Industries Limited to Pennine Business Bank plc

Date: 28 April 2026 | Prepared with Whitfield Carter LLP and Marlow Tax & Advisory Ltd

## 1. Background

Calverton Industries Limited manufactures and distributes industrial fastening and fluid-handling components from its facilities in Wolverhampton and Dudley. FY2025 was materially affected by the loss of a major OEM customer (representing c.14% of revenue) and sustained input-cost inflation, resulting in a covenant breach for the quarter ended 31 December 2025. Trading has since stabilised and the order book for H2 FY2026 has recovered to within 6% of budget.

## 2. The proposal in summary

The Company proposes a consensual amendment and restatement of the Facilities Agreement combining a covenant reset, a modest deleveraging funded by new shareholder equity, a new working-capital facility, and revised pricing, as follows:

| Element | Proposal |
|---|---|
| New equity | £4.0m new equity from existing shareholders, injected at completion as subordinated shareholder loan / equity. |
| Term Loan A | £2.0m prepayment at completion from the equity proceeds, reducing Term Loan A to £12.0m. |
| New WC facility | New £3.0m super-senior working-capital facility from the Bank, available for 18 months. |
| Covenant reset | Leverage covenant reset to step down 4.75x (Jun-26) → 4.25x → 3.75x → 3.50x (Jun-27 onwards); DSCR floor reset to 1.10x stepping to 1.20x. |
| Margin | Increase of 150bps to 5.25% over SONIA, with a 25bps ratchet reduction on achieving leverage ≤ 3.50x. |
| Equity cure | Shareholders to have the right to cure up to two covenant breaches by injecting further equity (max £1.5m per cure). |
| Fees | Amendment / consent fee of £150,000. |

## 3. Sources and uses at completion

| Sources (£m) | Amount | Uses (£m) | Amount |
|---|---|---|---|
| New shareholder equity | 4.00 | Term Loan A prepayment | 2.00 |
| | | Amendment / consent fee | 0.15 |
| | | Adviser & legal costs | 0.45 |
| | | Working-capital headroom | 1.40 |
| Total sources | 4.00 | Total uses | 4.00 |

## 4. Why this works for the Bank

- Deleveraging: net senior debt reduces from £32.0m to £30.0m, with £4.0m of fresh junior money injected ahead of the Bank.
- Improved pricing: +150bps margin uplift plus a £150k fee.

- Independent validation: the Marlow IBR supports a return to 3.5x leverage by FY2027 on the base case.
- Alignment: shareholders are committing new money and accepting equity-cure obligations.

## 5. Conditionality and timetable

The proposal is conditional on documentation of the amendment and restatement, completion of the shareholder equity injection, and satisfactory confirmatory diligence by the Bank. The Company proposes signing by 22 May 2026, within the standstill period.